

RR Kabel

52 W high: 1523.80 | 52 W low: 853.55

Coverage: 18/12/2025 | CMP: 1434.90

Industry – Cables & Electricals | M cap: 16.18 Cr



RR Kabel provides consumer electrical products used for residential, commercial, industrial, and infrastructure purposes in two majors segments, namely wires and cables including house wires, industrial wires, power cables, and special cables; and FMEG including fans, lighting, switches, and appliances.

Key Financial Metrics								
Year	2023	2024	2025	2026	2027	2028	2029	2030
Total Sales	55,992.01	65,945.70	76,182.33	81,222.34	94,878.19	115,257.36	134,090.83	145,117.17
EBITDA Margin	5.76%	7.00%	6.37%	5.87%	6.27%	6.93%	7.70%	7.27%
EBIT Margin	4.69%	6.01%	5.45%	4.85%	5.68%	6.40%	6.95%	6.26%
Net Profit Margin	13.37%	16.30%	14.48%	12.38%	14.62%	16.78%	17.54%	14.73%
Sales Growth		17.78%	15.52%	6.62%	16.81%	21.48%	16.34%	8.22%

Key Financial Ratios

RR Kabel's key financial ratios reflect moderate profitability, liquidity, and stability. The Return on Equity (ROE) and return on assets (ROA) are both in a range bound of 13-14% and 7-10% respectively.

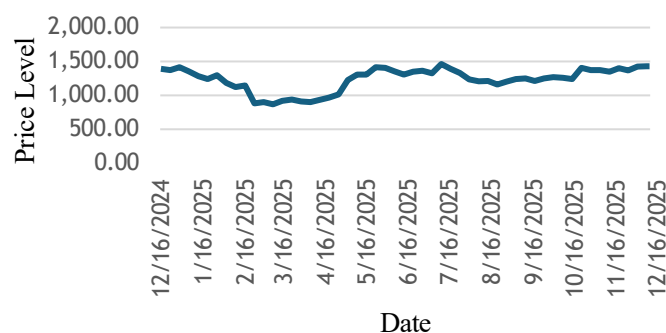
On average, ROE for last eight years is around 15.02 % with FY 27 positioned at 14.62 %. The company maintains a good liquidity position, with a current ratio above 1.5-2.0x and minimal debt levels, ensuring financial resilience. Interest coverage ratios remain exceptionally high, specifically for the forecasted years, indicating strong earnings capacity.

RR Kabel exhibits solid operational efficiency, with improving inventory turnover, stable receivables discipline, and consistent asset utilization.

While the business remains moderately working-capital intensive, this is largely structural to the wire and cables industry rather than company-specific weakness. Overall, efficiency metrics support the view of a well-managed manufacturing platform with disciplined execution.

Share Price

Closing Share Price - INR



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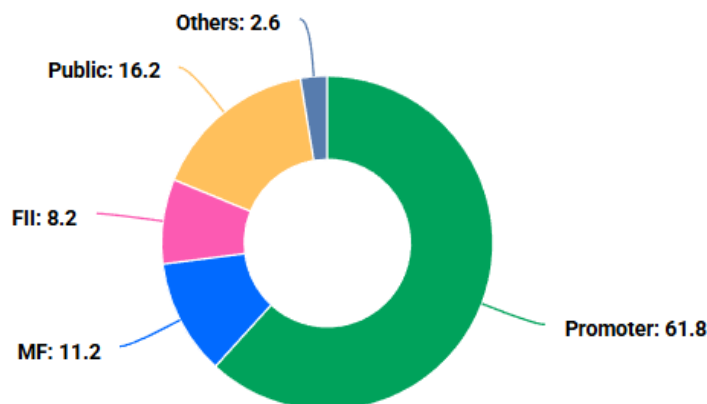
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Shareholding Pattern

RR Kabel's shareholding structure reflects strong promoter control alongside rising institutional participation, which supports governance stability and market confidence. Promoters continue to hold a majority stake of 61.8%, with only a marginal decline over the last two years, indicating no material dilution or exit intent.

Institutional ownership has strengthened meaningfully, led by FIIs increasing their stake from 5.0% in Sep'23 to 8.2% in Sep'25, signaling improving global investor confidence post listing.



Domestic institutional investors have also scaled up their exposure, with DII holdings rising sharply from 8.7% to 13.9% over the same period. Correspondingly, public shareholding has moderated from 23.6% to 16.2%, suggesting absorption of free float by institutions rather than promoter offloading. Overall, the evolving shareholding mix reflects increasing institutional depth while retaining promoter alignment, which is a positive signal for long-term shareholders.

Recent Updates

Financials : Kabel has delivered strong financial momentum, highlighted by a landmark Q2 FY26 performance where consolidated revenue rose 19.5% YoY to ₹2,163.8 crore and net profit more than doubled to ₹116.3 crore compared with Q2 FY25.

EBITDA more than doubled YoY, with margins expanding to ~8.1%, while half-yearly revenue and PAT were also significantly higher vs the prior year. Earlier in FY25, the company reported robust Q4 results, with revenue up 26% YoY to over ₹2,200 crore and profit growing 64% to ₹129 crore, driven by strong demand in the core wires & cables segment and improved operational efficiency.

On a broader annual basis, RR Kabel posted its highest-ever revenue and profitability in FY24–25, with consistent top-line growth supported by volume gains across both wires & cables and the emerging FMEG segments, reflecting structural demand in residential, infrastructure, and electrification spend.

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Strategic Initiatives: RR Kabel is executing a ₹1,200 crore capex program under Project RISE to expand capacity in higher-KV power cables and value-added products, targeting premiumization and margin expansion through FY28. Management actions, including leadership realignment, reinforce focus on scaling the core wires & cables business.

Growth Prospects & Market Dynamics: RR Kabel is well positioned to benefit from structural demand tailwinds driven by infrastructure development, electrification, and renewable energy, particularly solar PV. Ongoing investments in R&D for energy-efficient and certified solar cable solutions enhance its participation in India's clean-energy transition.

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Industry and Macro Outlook

Wires and Cables

RR Kabel's wires & cables segment remains its primary driver, accounting for most of the revenue; the company highlights strong demand in both domestic and global markets, reflecting broad infrastructure and electrification trends.

Structural Market Tailwinds & Domestic Market

Infrastructure investments — Housing, commercial construction, smart cities and power grid expansion are key drivers for wires and cables demand.

Electrification & industrialization — Faster rollout of utilities and manufacturing-linked demand supports industry growth.

Retail penetration and brand expansion — RR Kabel's channel footprint growth supports broader market absorption.

The wires & cables industry is supported by multi-year tailwinds from infrastructure capex, electrification, export diversification, premiumization, and rapid formalization of the sector, positioning organized players like RR Kabel for sustained growth.

Export Market

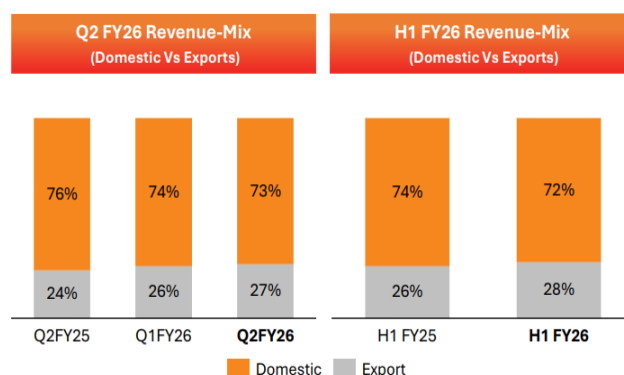
Exports contributed a significant share of revenue and are a strategic focus. RR Kabel exports to Europe, Middle East, and other global markets, helping diversify demand amid domestic economic cycles and global trade shifts.

Recent industry headlines highlight that export volume expectations remain positive, with projected sales volume growth around 16–18% for FY26, supported by capacity expansion and market diversification efforts.

Scenario Calculation

Segment	Revenue		
	2023 A	2024 A	2025 A
Wires and Cables	49,585	58,296.45	66,888
FMEG	6,474.85	7,763.80	9,295.90
Elimination (Note1)	(68.17)	(114.62)	(1.15)
Total	55,992.01	65,945.63	76,182.33

Domestic vs Export Revenue Mix Trend



Global Presence & Export Footprint

Presence

Worldwide distribution network

RR Kabel's expansive international presence underscores its role as a leading exporter from India in the Wires & Cables sector.

~26%

Exports % of revenue from operations

74 Countries

W&C exports

RR Kabel exports primarily under its own established brand while also manufactures private label products for selected partners. Its strong global presence is anchored by long-standing relationships across key international markets.

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Industry and Macro Outlook

FMEG- Fast Moving Electrical Goods

Outlook

The FMEG business is positioned as a high-growth segment for RR Kabel, with management targeting above-industry growth rates compared with the core wires & cables business. The company has articulated an 25% CAGR ambition for FMEG over the medium term, reflecting both volume expansion and category diversification.

Structural Market Tailwinds

The FMEG segment benefits from broader electrification trends and rising consumer demand for energy-efficient, digitally connected, and design-oriented electrical products, especially in the urban and replacement markets.

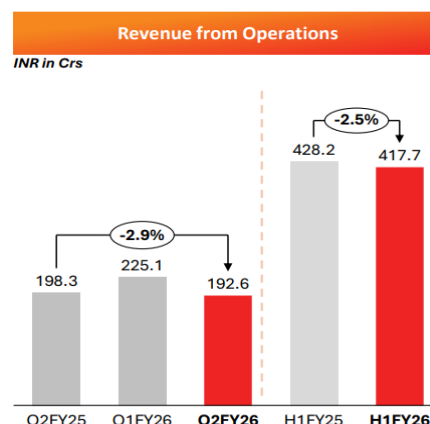
Pricing

The Company aims to expand its footprint across the economy, mid-premium, and premium segments. By increasing revenue from high-end products and maintaining a balanced portfolio, it addresses diverse consumer needs.

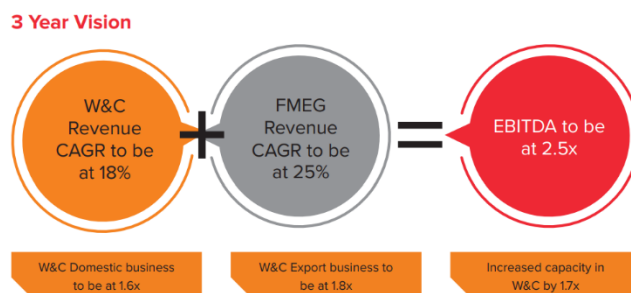
Strategic Initiatives

Project RRise represents RR Kabel's focused three-year growth strategy spanning FY 2025-26 to FY 2027-28. It is designed to accelerate expansion in both the W&C and FMEG segments while transforming the Company's revenue and profitability profile. Project RRise embodies a bold and well-defined strategy with measurable targets, aimed at positioning RR Kabel as a stronger, more competitive, and future-ready organization, laying a solid foundation for long-term value creation.

Quarterly and Half-Yearly Revenue



RR Kabel's 3-Year Strategic Outlook



Ratio Analysis

Particulars	2023 A	2024 A	2025 A	2026 P	2027 P	2028 P	2029 P	2030 P
Profitability Ratios								
EBITDA Margin	5.76%	7.00%	6.37%	5.87%	6.27%	6.93%	7.70%	7.27%
EBIT Margin	4.69%	6.01%	5.45%	4.85%	5.68%	6.40%	6.95%	6.26%
Net Margin	3.39%	4.52%	4.09%	3.74%	4.43%	5.03%	5.48%	4.99%
Return on Equity	13.37%	16.30%	14.48%	12.38%	14.62%	16.78%	17.54%	14.73%
Return on Assets	7.21%	10.39%	8.86%	7.46%	9.86%	11.45%	12.45%	10.78%

Liquidity Ratios								
Current Ratio	1.77x	2.12x	1.78x	1.64x	1.95x	2.02x	2.23x	2.48x
Quick Ratio	0.99x	1.16x	0.98x	0.93x	1.07x	1.16x	1.23x	1.39x
Cash Ratio	0.07x	0.10x	0.18x	0.11x	0.02x	0.10x	0.05x	0.17x

Efficiency Ratios								
Inventory Turnover Ratio	5.3x	6.0x	6.2x	6.2x	7.0x	7.3x	6.8x	6.4x
Receivables Turnover Ratio	9.5x	10.3x	9.3x	9.6x	9.7x	9.5x	9.6x	9.6x
Payable Turnover Ratio	12.4x	15.4x	9.9x	11.9x	11.9x	11.0x	11.5x	11.5x
Asset Turnover Ratio	2.1x	2.3x	2.2x	2.0x	2.2x	2.3x	2.3x	2.2x
Cash Conversion Cycle	71	67	54	64	62	60	62	61

Solvency Ratios								
Debt / Equity Ratio	0.36x	0.16x	0.10x	0.08x	0.06x	0.04x	0.03x	0.02x
Debt Ratio	2.45%	2.48%	1.94%	1.64%	1.53%	1.26%	1.06%	0.92%
Interest Coverage Ratio	6.24x	7.36x	7.05x	9.79x	14.29x	20.77x	27.75x	28.48x

WACC

Weighted Average Cost Of Capital Calculation	
Risk Free Rate	6.50%
Market Rate of Return	12.76%
Beta	0.86
Cost of Equity - Ke	11.86%
Pre Tax Cost of debt	10.00%
Tax Rate	26.00%
Cost of debt - Kd	7.40%
Cost of debt	7.40%
Cost of Equity	11.86%
Total Debt	2,220.33
Total Equity	21,526.21
Weight of debt	0.09
Weight of Equity	0.91
Weighted Average Cost of Capital - Kc	11.44%

Returns	
1 Year	8.31%
3 Year	12.28%
5 Year	15.11%
10 Year	12.76%

Market Rate of Return	
11/26/2015	7,883.50
11/25/2020	12,968.05
11/26/2022	18,512.75
11/26/2024	24,194.50
11/26/2025	26,205.30

Income Statement

Particulars	2023 A	2024 A	2025 A	2026 P	2027 P	2028 P	2029 P	2030 P
Revenue from operations	55,992.01	65,945.70	76,182.33	81,222.34	94,878.19	115,257.36	134,090.83	145,117.17
Revenues from core operations	55,992.01	65,945.70	76,182.33	81,222.34	94,878.19	115,257.36	134,090.83	145,117.17
Operating Expenses								
Cost of materials consumed	43,697.89	49,425.95	58,367.61	62,164.39	72,139.43	88,051.05	102,340.35	110,652.12
Purchases of stock-in-trade	3,688.52	4,035.77	4,953.32	5,200.76	6,016.82	7,394.40	8,564.06	9,260.38
Changes in inventories	-1,629.41	27.41	-771.43	-637.00	-420.84	-1731.97	-3024.87	-2472.96
Total operating expenses	45,757.00	53,489.12	62,549.50	66,728.15	77,735.41	93,713.48	107,879.54	117,439.54
Operating Profit	10,235.01	12,456.58	13,632.83	14,494.20	17,142.77	21,543.88	26,211.29	27,677.63
Employee benefits expense	2,641.59	3,168.70	3,484.70	3,816.63	4,452.37	5,365.57	6,278.58	6,786.81
Other expenses	4,370.19	4,670.84	5,291.71	5,911.36	6,738.55	8,193.42	9,604.98	10,339.20
EBITDA	3,223.23	4,617.04	4,856.42	4,766.21	5,951.85	7,984.89	10,327.72	10,551.62
Depreciation and amortisation expense	596.28	654.86	704.99	830.97	560.70	604.03	1,004.60	1,474.48
EBIT	2,626.95	3,962.18	4,151.44	3,935.24	5,391.15	7,380.86	9,323.13	9,077.14
Finance Cost	420.87	538.53	588.97	402.12	377.34	355.40	335.96	318.73
Other Income	344.39	626.15	511.15	544.96	636.59	773.32	899.68	973.66
PBT	2,550.47	4,049.79	4,073.61	4,078.08	5,650.40	7,798.79	9,886.85	9,732.08
Share of Profit joint venture net of tax	9.44	11.12	20.93	22.31	26.06	31.66	36.83	39.86
Tax	-661.19	-1079.62	-978.43	-1060.30	-1469.10	-2027.68	-2570.58	-2530.34
PAT	1,898.73	2,981.29	3,116.11	3,040.09	4,207.35	5,802.76	7,353.10	7,241.60
	-25.92%	-26.66%	-24.02%	26.00%	26.00%	26.00%	26.00%	26.00%

- **Revenue Growth :** The company demonstrates a strong and consistent revenue growth profile over the forecast horizon. Revenues increased from Rs.55,992 million in FY23 to Rs. 145,117 million by FY30, indicating a CAGR of around 17.20%.
- **Profitability trends :** The company's absolute profit growth is closely aligned with its margin trajectory, indicating that earnings expansion is driven not only by revenue growth but also by improving operational efficiency. EBITDA expands over 3x from Rs3,223Million in FY23 to Rs10,552 million in FY30, supported by an improvement in EBITDA margins from 5.76% to 7.27%.

This indicates that incremental revenue is translating into disproportionately higher profits, reflecting strong operating leverage. The margin expansion highlights better absorption of fixed costs and efficiency gains offsetting input cost pressures

- **Rising Net Profit and EPS:** PAT growth translated into a rise in EPS from ₹19.8 in FY23 to ₹27.5 in FY24, indicating efficient conversion of earnings into per-share returns. The movement between PAT and EPS suggests minimal equity dilution over the period. Overall, the improvement in EPS mirrors the underlying profit growth, reinforcing the quality and sustainability of earnings.

Balance Sheet

CONSOLIDATED BALANCE SHEET

Particulars	2023 A	2024 A	2025 A	2026 P	2027 P	2028 P	2029 P	2030 P
Assets								
Non - Current Assets								
(a) Property, plant & equipment	4,488.23	4,661.26	7,076.13	9,551.86	9,560.36	9,662.54	10,211.83	9,486.51
(b) Capital Work in Progress	435.80	1,635.78	2,347.29	3,013.70	4,267.70	5,718.20	6,534.50	5,438.10
(c) Right of use assets	618.46	661.77	609.69	638.30	626.38	576.41	492.37	378.65
(d) Intangible assets	64.86	23.17	3.97	149.09	317.44	867.29	2,231.63	5,591.93
(e) Investments accounted for using equity method	196.29	205.40	210.43	210.43	210.43	210.43	210.43	210.43
(f) Financial assets								
1. Investments	581.05	859.13	1,657.28	1,693.90	2,050.80	2,662.44	3,068.39	3,638.25
2. Loans	2.87	1.65	1.12	1.12	1.12	1.12	1.12	1.12
3. Other Financial Assets	35.76	44.93	35.91	35.91	35.91	35.91	35.91	35.91
(g) Income tax assets (net)	118.34	26.98	44.46	44.46	44.46	44.46	44.46	44.46
(h) Other Non-current assets	333.35	619.76	658.39	658.39	658.39	658.39	658.39	658.39
	6,875.02	8,739.82	12,644.66	15,997.15	17,772.98	20,437.17	23,489.02	25,483.74
Current Assets								
(a) Inventories	8,601.75	8,978.23	10,108.54	10,745.58	11,166.40	12,898.37	15,923.25	18,396.20
(b) Financial assets								
1. Investments	2,849.24	2,350.43	523.79	2,551.76	2,262.14	2,224.80	3,417.58	3,670.64
2. Trade receivables	5,918.69	6,411.96	8,232.14	8,419.92	9,771.01	12,090.81	13,925.44	15,079.53
3. Cash and cash equivalents	310.35	814.94	2,156.77	1,544.90	209.79	1,436.19	706.17	2,695.93
4. Bank Balance	500.40	172.94	112.31	98.61	13.39	91.67	45.20	172.08
5. Loans	0.60	7.58	8.14	10.00	10.00	10.00	10.00	10.00
6. Other Financial Assets	89.69	272.02	321.96	400.00	450.00	475.00	525.00	690.00
(c) Other Current Assets	1,190.43	945.24	1,060.91	1,000.00	1,000.00	1,000.00	1,000.00	1,000.00
	19,461.15	19,953.33	22,524.55	24,770.77	24,882.72	30,226.85	35,554.65	41,714.38
Total Assets	26,336.16	28,693.15	35,169.21	40,767.92	42,655.71	50,664.02	59,043.67	67,198.12
Equity and Liabilities								
(a) Equity Share Capital	478.48	564.09	565.37	565.37	565.37	565.37	565.37	565.37
(b) Instrument entirely equity in nature	4,151.86	-	-	-	-	-	-	-
(c) Other Equity	9,566.55	17,720.86	20,960.85	24,000.93	28,208.28	34,011.04	41,364.14	48,605.74
	14,196.90	18,284.96	21,526.21	24,566.30	28,773.65	34,576.41	41,929.51	49,171.11
Non Current Liabilities								
(a) Financial Liabilities								
1. Borrowings	268.60	0.00	0.00	0.00	0.00	0.00	0.00	0.00
2. Lease liabilities	564.05	605.84	567.97	567.23	555.88	544.76	533.87	523.19
3. Other financial liabilities	21.29	21.59	0.00	-	0.00	0.00	0.00	0.00
(b) Provisions	140.81	111.51	151.81	196.53	215.46	256.56	309.12	329.03
(c) Deferred tax liabilities (net)	148.69	247.31	302.36	350.00	350.00	350.00	350.00	350.00
(d) Other Non Current Liabilities	0.09	-	-	-	-	-	-	-
	1,143.51	986.25	1,022.14	1,113.75	1,121.34	1,151.33	1,192.99	1,202.22
Current Liabilities								
(a) Financial liabilities								
1. Borrowings	4,889.81	2,889.62	2,220.33	1,953.89	1,719.42	1,513.09	1,331.52	1,171.74
2. Lease liabilities	81.95	104.40	112.97	100.10	98.10	96.13	94.21	92.33
3. Trade Payables	-	-	-	-	-	-	-	-
4. Total outstanding dues of micro enterprises and small enterprises	458.81	173.22	174.80	174.80	174.80	174.80	174.80	174.80
5. Total outstanding dues of creditors other than micro enterprises and small enterprises	3,942.48	4,118.67	7,448.53	6,591.73	7,777.13	10,109.27	11,211.51	12,251.69
6. Other financial liabilities	377.73	1,114.24	1,275.51	1,400.00	1,400.00	1,400.00	1,400.00	1,400.00
(b) Other Current liabilities	958.72	757.38	1,095.70	4,500.00	1,200.00	1,200.00	1,200.00	1,200.00
(c) Provisions	221.92	247.24	191.10	247.40	271.23	322.97	389.13	414.20
(d) Income Tax liabilities (net)	64.34	17.00	101.93	120.00	120.00	120.00	120.00	120.00
	10,995.76	9,421.76	12,620.86	15,087.91	12,760.68	14,936.26	15,921.17	16,824.75
Total Equity and Liabilities	26,336.16	28,692.97	35,169.21	40,767.96	42,655.67	50,663.99	59,043.66	67,198.08

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Cash Flow Statement

Particulars	2023 A	2024 A	2025 A	2026 P	2027 P	2028 P	2029 P	2030 P
Cash Flow From Operating Activity	4528.05	3378.81	4923.05	3665.58	713.33	3981.68	2805.15	4880.39
Cash Flow From Investing Activity	-3334.98	-835.14	-1690.15	-2475.73	-8.50	-102.18	-549.29	725.32
Cash Flow from Financing Activity	-1015.15	-2050.21	-1912.00	-1682.18	-2125.15	-2574.81	-3030.35	-3491.07
Net Increase In Cash and Equivalents(A+B+C)	177.92	493.46	1320.90	-492.33	-1420.33	1304.69	-774.49	2114.64
Add: Cash at Beginning of year	122.99	310.35	814.94	2135.84	1643.51	223.18	1527.87	753.37
Cash and cash equivalents as at the end of the year	300.91	803.81	2135.84	1643.51	223.18	1527.87	753.37	2868.01

Valuation

Current Enterprise Value

Particulars	Amount
Current Market Price per share	1434.90
No of Shares	113.09
Common Equity	162272.841
Non Controlling Interest	-
Net debt	(2,220.33)
Enterprise Value	160052.511

Expected Enterprise Value - Summary

Valuation Method	Enterprise Value	Net Debt	Equity Value	Minority Interest	Adj Equity Value	Share Price
	A	B	C = A-B	D	E = C-D	F = E/No of Shares
Discounted Cash Flow	206,313.77	2,220.33	204,093.44		204,093.44	1,804.70
EV/Sales	170,641.15	2,220.33	168,420.82		168,420.82	1,489.26
EV/EBITDA	477,683.47	2,220.33	475,463.14		475,463.14	4,204.29
P/B	185,190.18	2,220.33	182,969.85		182,969.85	1,617.91

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Particulars	2026 P	2027 P	2028 P	2029 P	2030 P
Time Period	0.50	1.50	2.50	3.50	4.50
Net Profit After Tax	3,040.09	4,207.35	5,802.76	7,353.10	7,241.60
Add : Depreciation and Amortization	830.97	560.70	604.03	1,004.60	1,474.48
Add: Interest * (1- Tax Rate)	297.57	279.23	263.00	248.61	235.86
Less: Capital expenditure	-2,475.73	-8.50	-102.18	-549.29	0.00
Less: Change in Working Capital	-1,219.41	-3,816.97	1,662.76	-3,097.65	1,740.15
Free Cash Flow to Firm (FCFF) - Unlevered Cash Flows	7,863.76	1,238.82	5,109.21	12,253.25	10,692.09
Present Value of free cash flows	7,450.15	1,053.13	3,897.35	8,387.02	6,566.89
Sum of Present Value of FCFs					27,354.54

Free Cash Flow to Firm (FCFF)	7,863.76	1,238.82	5,109.21	12,253.25	10,692.09
Less: Interest * (1- Tax Rate)	297.57	279.23	263.00	248.61	235.86
Add: Net Borrowings	1,953.89	1,719.42	1,513.09	1,331.52	1,171.74
Free Cash Flow to Equity (FCFE)	9,520.08	2,679.01	6,359.30	13,336.16	11,627.97

Terminal Value Calculation

Long term growth rate	7.50%
Cost of Capital (WACC)	11.44%
FCFF (t+1)	11,493.99
Terminal Value	291,378.16
Present Value of Terminal Value	178,959.22
Present Value of FCFF	27,354.54
Enterprise Value - EV	206,313.77
No of outstanding shares	113.09
Per Share Value	1,824.33

Investment Review

Recommendation: BUY

CMP: 1,435

Target Price (12M): 1,700 – 1,800

Upside Potential: 18–25%

1. Strong Structural Growth Visibility:

RR Kabel is well positioned to benefit from multi-year structural tailwinds in the wires & cables industry driven by infrastructure development, housing construction, power grid expansion, and electrification. Additionally, increasing investments in renewable energy, particularly solar PV installations, provide incremental demand for specialized and certified cables. These factors support sustained volume-led growth over the medium term.

2. Project RISE Provides Clear Growth Roadmap:

RR Kabel's 1,200 crore capex program under Project RISE is strategically focused on:

- Expanding capacity in higher-KV and specialized cables
- Strengthening presence in premium and export-oriented products
- Scaling the FMEG segment
This program enhances long-term growth visibility and positions the company for margin accretion beyond FY27.

3. Strong Balance Sheet and Capital Discipline:

RR Kabel maintains a healthy balance sheet with:

- Low leverage and strong interest coverage
- Comfortable liquidity position
- ROE consistently around 14–15%
- This financial strength allows the company to fund growth capex without materially increasing balance sheet risk.

4. Valuation Outlook:

At the current market price, RR Kabel trades at a reasonable discount to established peers despite comparable growth visibility and improving profitability. Given earnings CAGR visibility, margin expansion, and structural tailwinds, the stock warrants a re-rating toward peer multiples.